

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 2,024,000 192% Last month 693,000	 Gross Margin 2,024,000 192% Last month 693,000
 Operating Profit 1,463,544 384% Last month 302,223	 Break Even Sales 560,456 43% Last month 390,777
 Accounts Receivable 2,898,894 6% Last month 2,735,694	 Accounts Payable -1,237,279 -2% Last month -1,214,776
 Working Capital 4,136,173 5% Last month 3,950,470	 Closing Stock 0 0% Last month 0
 Bs Category 69 - STEADY 13% Last month 61 - STEADY	 Impact Of Decisions -575,767 -1,278% Last month 48,891

1. Big Picture — How the Business Looks Right Now

Your business shows strong growth in net worth, with Total Equity increasing from ₹12.44 lakh in April to ₹46.69 lakh in November. Sales performance is volatile, peaking at ₹20.24 lakh in November but with significant monthly fluctuations. The company has significantly reduced its debt burden, with Secured Long-term Borrowings turning negative by November, indicating a strong financial position.

GREEN FLAG BOX — What's Working Well

- Exceptional profitability in key months, with Net Profit reaching ₹14.64 lakh in November and a Net Profit % of 72.31.
- Strong debt reduction, with Secured Long-term Borrowings decreasing from ₹8.23 lakh in April to - ₹4.18 lakh in November.
- Robust liquidity position maintained, with a Current Ratio of 7.81 in November and healthy Cash and Bank Balances of ₹14.01 lakh.

RED FLAG BOX — What Needs Attention

- High operational volatility, with a major loss of ₹6.89 lakh in August (Net Profit % of -171.05) driven by a spike in Employee Benefit Expenses to ₹10.02 lakh.
- Negative cash flows from core operations in most months, with Cash flows from Operating Activity at -₹1.86 lakh in November.
- Extreme fluctuation in debtor collection cycles, with Accounts Receivable Days swinging from 159.37 days in June to 43.56 days in November, indicating inconsistent credit management.

Strategic Advice:

Stabilise monthly overheads, particularly employee costs, to prevent profit shocks like August. Convert the strong profit and reduced debt into consistent positive operating cash flow by tightening working capital management.

2. Profit Power — The Earning Engine

Your profitability shows significant volatility, with a net profit of ₹-1.35 lakh in April improving to ₹14.64 lakh in November. The primary driver is sales, which surged from ₹3.67 lakh in April to ₹20.24 lakh in November, though with major monthly fluctuations. Overheads as a percentage of sales were very high at 136.92% in

April but improved to 27.69% in November, indicating better cost control in recent months.

However, expense management remains a critical issue. Employee benefit expenses spiked to ₹10.02 lakh in August, contributing to a large net loss of ₹-6.89 lakh that month. The operating profit margin has been inconsistent, ranging from -171.05% in August to 73.08% in May. This pattern suggests your profitability is highly sensitive to both sales volumes and periodic high-cost months.

Strategic Advice:

Stabilise your profitability by analysing the causes of monthly expense spikes, particularly in employee costs, and aim for more consistent overhead management. Focus on smoothing out sales delivery to reduce revenue volatility and protect your margins during lower-activity periods.

3. Cash Flow Quality — Profit vs Real Cash

Your business shows a strong profit trend, with the current year profit growing from a loss of ₹1.35 lakh in April to a profit of ₹14.64 lakh in November. However, cash flow from operating activities has been inconsistent, starting at -₹24.07 lakh in April and improving to -₹1.86 lakh by November.

This indicates a significant profit-to-cash conversion gap. The primary blockage is in working capital, as debtor days were high at 105 days in April but improved to 44 days in November. The working capital requirement per ₹100 of sales was ₹655.82 in April, reducing to ₹204.36 by November.

Your cash balance has been volatile, starting at ₹12.05 lakh, dipping to ₹4.15 lakh in May, and ending at ₹14.01 lakh in November. Financing activities provided major cash inflows initially (₹45.22 lakh in April), which tapered off to ₹5.25 lakh in November.

Strategic Advice:

Prioritise reducing the debtor collection period further and align vendor payment terms to improve operating cash flow. The business must focus on converting its strong book profits into consistent positive cash generation to reduce reliance on external financing.

4. Cash Management — Daily Cash Rhythm

Your debtor collection period (Accounts Receivable Days) has improved significantly from 105.49 days in April to 43.56 days in November. This indicates a much faster collection cycle, which is positive for cash

flow.

However, the working capital cycle remains entirely dependent on receivables, as Inventory Days and Accounts Payable Days data is not available. The Working Capital Days followed a similar trend, decreasing from 105.49 days to 43.56 days over the period.

Your cash position (Cash and Bank Balances) has been volatile, starting at ₹12.05 lakh in April, dipping to ₹4.15 lakh in May, and ending at ₹14.01 lakh in November. The monthly cash flows from operating activity were negative in several months, including April (₹-24.07 lakh) and November (₹-1.86 lakh).

Strategic Advice:

The improved debtor days are excellent. To build a stronger cash rhythm, focus on stabilizing monthly operating cash flows and consider negotiating better payment terms with vendors to introduce a payable cycle, which is currently missing.

5. Growth Investments — Where Money Is Going

Your capital expenditure on Fixed Assets was ₹9.09 lakh in April, increasing to ₹9.96 lakh from May onwards. The investment in Other Capital was negative for most months, indicating a net release of funds, but turned positive to ₹2.38 lakh in November.

Return on Capital Employed shows high volatility, from -58.04% in April to a peak of 271.88% in September, ending at 267.70% in November. Similarly, Return on Total Assets improved from -30.04% in April to 180.78% in November, indicating much better asset utilization over the period.

Net Operating Assets grew significantly from ₹18.67 lakh in April to ₹43.74 lakh in November. This growth in operating assets, alongside the strong returns, suggests investments are being deployed into revenue-generating activities.

Strategic Advice:

The business is generating strong returns on capital, but the capital expenditure has been flat since May. Consider reinvesting a portion of the high profits (₹1.46 crore in November) into upgrading Fixed Assets or technology to sustain this high growth trajectory and competitive advantage.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by a mix of owner's equity and borrowings. Total Equity grew from ₹12.44 lakh in April to ₹46.69 lakh in November. Total Debt decreased from ₹18.29 lakh to ₹11.06 lakh over the same period, improving the Debt to Equity ratio from 1.47 to 0.24.

Secured Long-term Borrowings have been consistently reduced from ₹8.23 lakh to a negative ₹4.18 lakh, indicating repayments exceeding new loans. In contrast, Unsecured Long-term Borrowings remained stable at ₹10.06-15.24 lakh. The Debt to Capital ratio improved from 0.60 to 0.19, showing a healthier capital structure.

Cash flow from Financing Activity was a major inflow of ₹45.22 lakh in April, primarily funding the initial setup. Subsequent months saw mixed financing flows, with a significant inflow of ₹11.49 lakh in September. The Net Debt position turned negative (₹-2.95 lakh) by November, meaning cash reserves exceed debt.

Strategic Advice:

The aggressive debt repayment is commendable and has strengthened the balance sheet. With a negative net debt position, you have a strong liquidity buffer. Consider using this strength to negotiate better credit terms with vendors or to secure low-cost working capital lines for future growth phases, rather than taking on high-cost debt.

7. Balance Sheet Health — Financial Fitness

Your total assets grew from ₹36.08 lakh in April to ₹64.76 lakh in November, indicating business expansion. Total equity improved significantly from ₹12.44 lakh to ₹46.69 lakh, strengthening the owner's stake.

The debt-to-equity ratio improved from 1.47 to 0.24, showing reduced reliance on borrowed funds. The current ratio remains strong, ending at 7.81 in November, indicating ample short-term liquidity.

However, accounts payable are negative throughout the period, and secured long-term borrowings turned negative from September onwards, which requires review. The composition of current assets shifted, with other current assets increasing to ₹11.80 lakh in November.

Strategic Advice:

Investigate the negative accounts payable and secured borrowing figures to ensure data accuracy and correct classification. With a strong equity base and low debt, consider strategic reinvestment of

profits to fuel growth.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high overheads of ₹10.92 lakh seen in August are controlled to the average of ₹4.52 lakh, the Net Profit for that month could improve from -₹6.89 lakh to a positive figure, boosting the overall retained profit.
- **Scenario B - Cash Focus:** If debtor days are consistently maintained at the best level of 43.56 days (as in November) instead of the peak of 159.37 days (June), the cash balance could improve significantly from the low of ₹4.15 lakh in May.
- **Scenario C - Balanced:** Combining controlled overheads with improved debtor collection could stabilize monthly profits and strengthen the cash position, potentially increasing the closing cash balance from ₹14.01 lakh in November.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Efficiency: Sales turnover shows high volatility, from ₹3.67 lakh in April to ₹20.24 lakh in November. The billing activity, measured by invoice count, peaked at 1080 invoices in July with a sales value of ₹32.70 lakh, indicating a period of high-volume, lower-value transactions.

Procurement & Vendor Management: Purchase volumes were significantly higher than sales, especially in June at ₹1.74 crore. This suggests bulk procurement or inventory build-up. The trend shows a sharp decline in purchases by October to ₹4.01 lakh.

Inventory & Warehouse Management: Inventory movement data shows consistent high outward movement, with outwards exceeding inwards in most months (e.g., June: Outward ₹1.70 crore vs. Inward ₹1.10 crore). This indicates efficient inventory turnover and a possible drawdown of stock levels.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collections to reduce Accounts Receivable Days from 43.56 days (Nov) and increase cash balance from ₹14.01 lakh.	Reduce debtor days to below 30 days and achieve a cash balance of ₹20 lakh.	Strengthen liquidity, improve Cash Flow Coverage from 1.82, and support operational needs.
31-60	Profit	Control overheads, which spiked to 271.05% in August, to protect the Net Profit % of 72.31% achieved in November.	Maintain Overheads % below 30% and sustain a Net Profit % above 65%.	Enhance profitability stability and improve Return on Equity from 376.14%.
61-90	Growth	Leverage strong sales months like November (₹20.24 lakh) and September (₹16.98 lakh) to plan for consistent revenue growth.	Achieve monthly sales consistently above ₹15 lakh and improve Asset Turnover from 3.70.	Scale business operations sustainably using the strengthened equity base of ₹46.69 lakh.